

```
import pandas as pd
df=pd.read_csv("medical_insurance.csv")
df.columns.tolist()
print(df.head(7))
print(df.shape)
print(df.info())
print(df.describe())
```

```
   age  sex  bmi  children  smoker  region  charges
0  19  female  27.900      0    yes  southwest  16884.92400
1  18   male  33.770      1    no   southeast  1725.55230
2  28   male  33.000      3    no   southeast  4449.46200
3  33   male  22.705      0    no  northwest  21984.47061
4  32   male  28.880      0    no  northwest  3866.85520
5  31  female  25.740      0    no   southeast  3756.62160
6  46  female  33.440      1    no   southeast  8240.58960
```

```
(2772, 7)
```

```
<class 'pandas.core.frame.DataFrame'>
```

```
RangeIndex: 2772 entries, 0 to 2771
```

```
Data columns (total 7 columns):
```

```
#   Column  Non-Null Count  Dtype
```

```
---  ---
0    age      2772 non-null    int64
1    sex      2772 non-null    object
2    bmi      2772 non-null    float64
3    children 2772 non-null    int64
4    smoker   2772 non-null    object
5    region   2772 non-null    object
6    charges  2772 non-null    float64
```

```
dtypes: float64(2), int64(2), object(3)
```

```
memory usage: 151.7+ KB
```

```
None
```

```
count 2772.000000 2772.000000 2772.000000 2772.000000
mean   39.109668  30.701349  1.101732 13261.369959
std    14.081459   6.129449  1.214806 12151.768945
min    18.000000  15.960000  0.000000 1121.873900
25%    26.000000  26.220000  0.000000 4687.797000
50%    39.000000  30.447500  1.000000 9333.014350
75%    51.000000  34.770000  2.000000 16577.779500
max    64.000000  53.130000  5.000000 63770.428010
```

```
numerical_cols=df.select_dtypes(include=['int64','float64']).columns
print("NUMERICAL DATA")
print(list(numerical_cols))
print("\n")
categorical_cols=df.select_dtypes(include=['object']).columns
print("CATEGORICAL DATA")
print(list(categorical_cols))
```

```
NUMERICAL DATA
```

```
['age', 'bmi', 'children', 'charges']
```

```
CATEGORICAL DATA
```

```
['sex', 'smoker', 'region']
```

```
print(df.isnull().sum())
print(df.duplicated().sum())
```

```
age      0
sex      0
bmi      0
children 0
smoker   0
region   0
charges  0
dtype: int64
1435
```

```
df.drop_duplicates(inplace=True)
print(df.duplicated().sum())
print(df.shape)
```

```
0
(1337, 7)
```

Why Normalization is Required for the Selected Dataset

The Medical Insurance Cost Prediction dataset contains numerical attributes such as age, bmi, children, and charges. These attributes have different ranges of values. For example, age ranges from 18 to 64, while charges can range from a few thousand to several tens of thousands.

If the data is used without normalization, attributes with larger values may dominate those with smaller values, affecting the performance of machine learning algorithms. Normalization brings all numerical attributes to a common scale, ensuring that each feature contributes

equally to the analysis.

Normalization also improves model accuracy, speeds up the training process, and helps machine learning algorithms perform more effectively. Therefore, normalization is an important preprocessing step for the Medical Insurance Cost Prediction dataset.

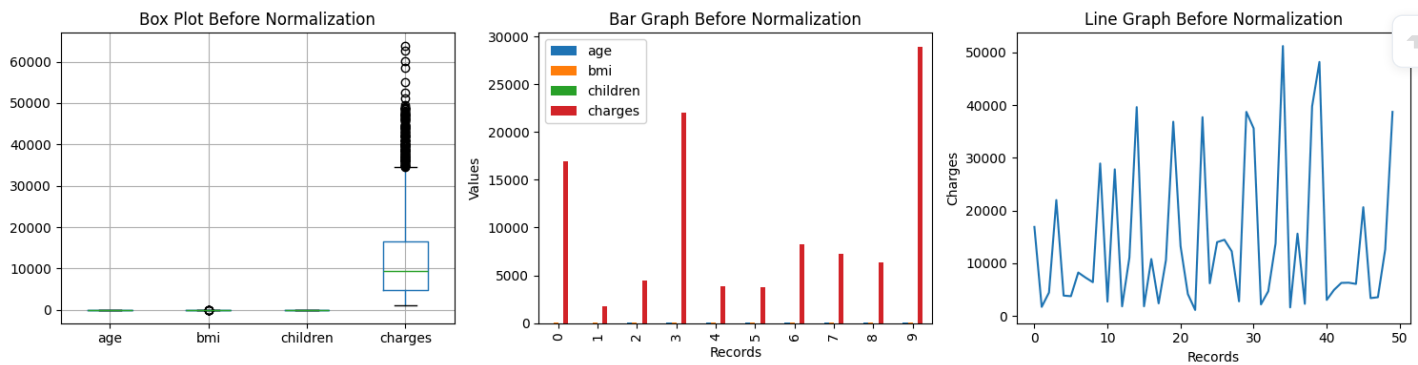
```
import matplotlib.pyplot as plt

plt.figure(figsize=(15,4))

# Box Plot
plt.subplot(1,3,1)
df[df.columns].boxplot()
plt.title("Box Plot Before Normalization")

# Bar Graph
plt.subplot(1,3,2)
df[df.columns].head(10).plot(kind='bar', ax=plt.gca())
plt.title("Bar Graph Before Normalization")
plt.xlabel("Records")
plt.ylabel("Values")

# Line Graph
plt.subplot(1,3,3)
plt.plot(df['charges'][:50])
plt.title("Line Graph Before Normalization")
plt.xlabel("Records")
plt.ylabel("Charges")
plt.tight_layout()
plt.show()
```



```
from sklearn.preprocessing import MinMaxScaler

scaler = MinMaxScaler()

minmax_df = pd.DataFrame(
    scaler.fit_transform(df[['age', 'bmi', 'children', 'charges']]),
    columns=['age', 'bmi', 'children', 'charges']
)
```

```
import matplotlib.pyplot as plt

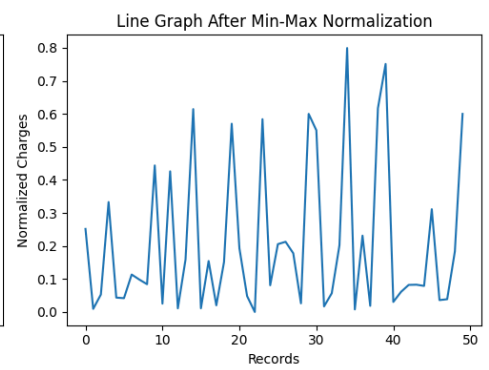
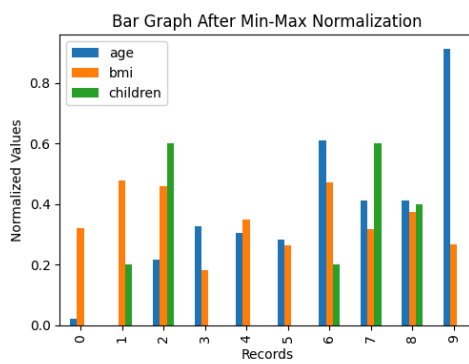
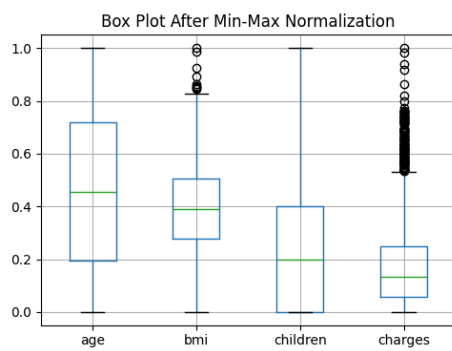
plt.figure(figsize=(15,4))

# Box Plot
plt.subplot(1,3,1)
minmax_df.boxplot()
plt.title("Box Plot After Min-Max Normalization")

# Bar Graph
plt.subplot(1,3,2)
minmax_df[['age', 'bmi', 'children']].head(10).plot(kind='bar', ax=plt.gca())
plt.title("Bar Graph After Min-Max Normalization")
plt.xlabel("Records")
plt.ylabel("Normalized Values")

# Line Graph
plt.subplot(1,3,3)
plt.plot(minmax_df['charges'][:50])
plt.title("Line Graph After Min-Max Normalization")
plt.xlabel("Records")
plt.ylabel("Normalized Charges")

plt.tight_layout()
plt.show()
```



```
from sklearn.preprocessing import MinMaxScaler, StandardScaler
import pandas as pd
import matplotlib.pyplot as plt
```

```
# Numerical attributes
num_cols = ['age', 'bmi', 'children', 'charges']
```

```
# =====
# MIN-MAX NORMALIZATION
# =====
```

```
minmax_scaler = MinMaxScaler()
```

```
minmax_df = pd.DataFrame(
    minmax_scaler.fit_transform(df[num_cols]),
    columns=num_cols
)
```

```
print("MIN-MAX NORMALIZATION")
print(minmax_df.head())
```

```
print("\nORIGINAL VS MIN-MAX NORMALIZED VALUES")
```

```
comparison_minmax = pd.concat(
    [df[num_cols].head(), minmax_df.head()],
    axis=1,
    keys=['Original', 'Min-Max']
)
print(comparison_minmax)
```

```
# Visualization After Min-Max
plt.figure(figsize=(15,4))
```

```
plt.subplot(1,3,1)
minmax_df.boxplot()
plt.title("Box Plot After Min-Max")
```

```
plt.subplot(1,3,2)
minmax_df[['age', 'bmi', 'children']].head(10).plot(
    kind='bar',
    ax=plt.gca()
)
plt.title("Bar Graph After Min-Max")
```

```
plt.subplot(1,3,3)
plt.plot(minmax_df['charges'][:50])
plt.title("Line Graph After Min-Max")
```

```
plt.tight_layout()
plt.show()
```

```
# =====
# Z-SCORE NORMALIZATION
# =====
```

```
zscore_scaler = StandardScaler()
```

```
zscore_df = pd.DataFrame(
    zscore_scaler.fit_transform(df[num_cols]),
    columns=num_cols
)
```

```
comparison_zscore = pd.concat(
    [df[num_cols].head(), zscore_df.head()],
    axis=1,
    keys=['Original', 'Z-Score']
)
```

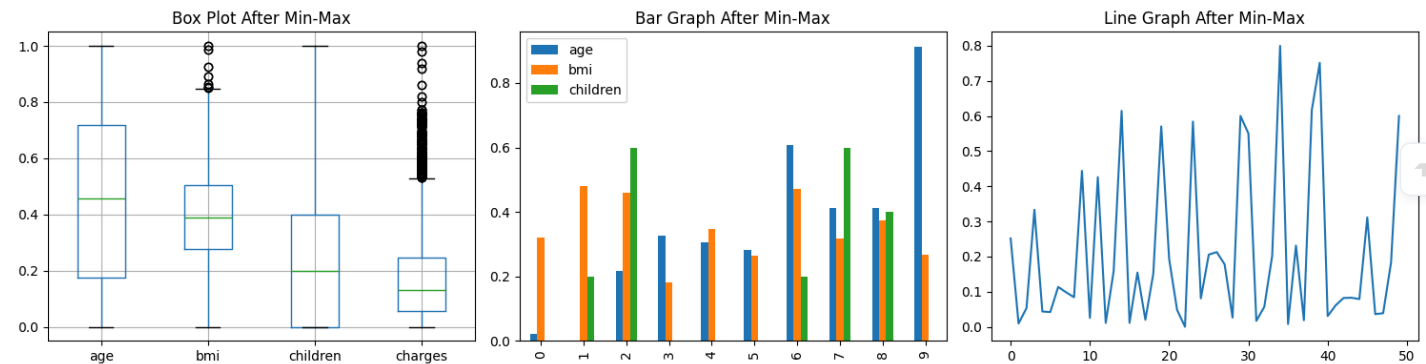
MIN-MAX NORMALIZATION

	age	bmi	children	charges
0	0.021739	0.321227	0.0	0.251611
1	0.000000	0.479150	0.2	0.009636
2	0.217391	0.458434	0.6	0.053115
3	0.326087	0.181464	0.0	0.333010
4	0.304348	0.347592	0.0	0.043816

ORIGINAL VS MIN-MAX NORMALIZED VALUES

Original				Min-Max			
	age	bmi	children	charges	age	bmi	children
0	19	27.900	0	16884.92400	0.021739	0.321227	0.0
1	18	33.770	1	1725.55230	0.000000	0.479150	0.2
2	28	33.000	3	4449.46200	0.217391	0.458434	0.6
3	33	22.705	0	21984.47061	0.326087	0.181464	0.0
4	32	28.880	0	3866.85520	0.304348	0.347592	0.0

charges
0 0.251611
1 0.009636
2 0.053115
3 0.333010
4 0.043816



ORIGINAL VS Z-SCORE NORMALIZED VALUES

Original				Z-Score			
	age	bmi	children	charges	age	bmi	children
0	19	27.900	0	16884.92400	-1.428353	-0.457114	-0.907084
1	18	33.770	1	1725.55230	-1.499381	0.500731	-0.083758
2	28	33.000	3	4449.46200	-0.789099	0.375085	1.562893
3	33	22.705	0	21984.47061	-0.433959	-1.304814	-0.907084
4	32	28.880	0	3866.85520	-0.504987	-0.297201	-0.907084

charges
0 0.298245
1 -0.949483
2 -0.725285
3 0.717976
4 -0.773238

Z-SCORE NORMALIZATION

	age	bmi	children	charges
0	-1.428353	-0.457114	-0.907084	0.298245
1	-1.499381	0.500731	-0.083758	-0.949483
2	-0.789099	0.375085	1.562893	-0.725285
3	-0.433959	-1.304814	-0.907084	0.717976
4	-0.504987	-0.297201	-0.907084	-0.773238

MEAN AFTER Z-SCORE

age 1.986546e-16
bmi -6.190334e-16
children 3.588600e-17
charges 6.472296e-17
dtype: float64

STANDARD DEVIATION AFTER Z-SCORE

age 1.00018
bmi 1.00018
children 1.00018
charges 1.00018
dtype: float64

```
print("\nORIGINAL VS Z-SCORE NORMALIZED VALUES")
print(comparison_zscore)

print("\n\nZ-SCORE NORMALIZATION")
```

```
print(zscore_df.head())

print("\nMEAN AFTER Z-SCORE")
print(zscore_df.mean())

print("\nSTANDARD DEVIATION AFTER Z-SCORE")
print(zscore_df.std())
```

ORIGINAL VS Z-SCORE NORMALIZED VALUES

	Original				Z-Score			
	age	bmi	children	charges	age	bmi	children	charges
0	19	27.900	0	16884.92400	-1.428353	-0.457114	-0.907084	0.298245
1	18	33.770	1	1725.55230	-1.499381	0.500731	-0.083758	-0.949483
2	28	33.000	3	4449.46200	-0.789099	0.375085	1.562893	-0.725285
3	33	22.705	0	21984.47061	-0.433959	-1.304814	-0.907084	0.717976
4	32	28.880	0	3866.85520	-0.504987	-0.297201	-0.907084	-0.773238

```
charges
0 0.298245
1 -0.949483
2 -0.725285
3 0.717976
4 -0.773238
```

Z-SCORE NORMALIZATION

	age	bmi	children	charges
0	-1.428353	-0.457114	-0.907084	0.298245
1	-1.499381	0.500731	-0.083758	-0.949483
2	-0.789099	0.375085	1.562893	-0.725285
3	-0.433959	-1.304814	-0.907084	0.717976
4	-0.504987	-0.297201	-0.907084	-0.773238

MEAN AFTER Z-SCORE

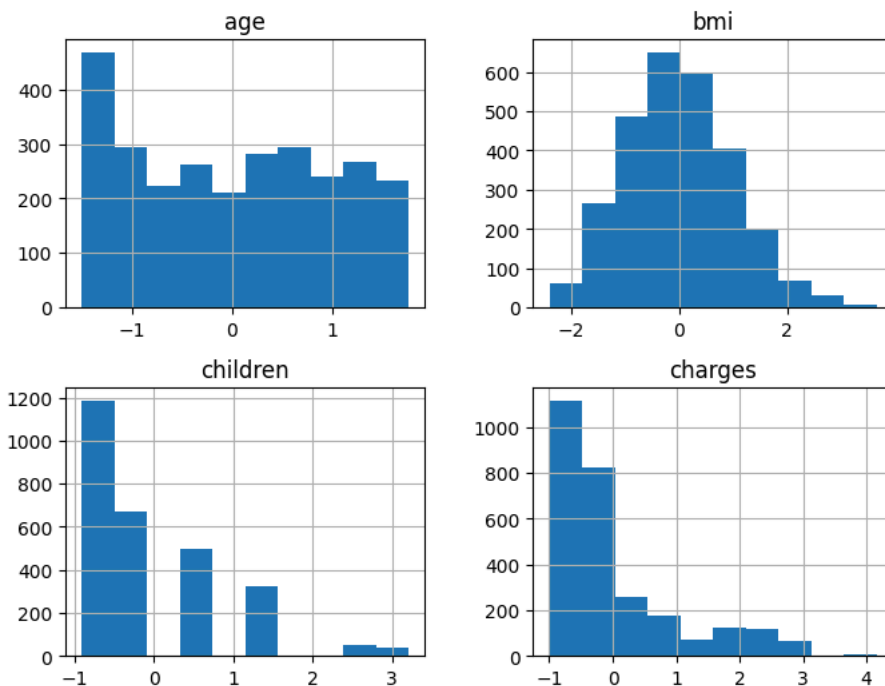
```
age      1.986546e-16
bmi     -6.190334e-16
children 3.588600e-17
charges  6.472296e-17
dtype: float64
```

STANDARD DEVIATION AFTER Z-SCORE

```
age      1.00018
bmi      1.00018
children 1.00018
charges  1.00018
dtype: float64
```

```
# Distribution Analysis
zscore_df.hist(figsize=(8,6))
plt.suptitle("Distribution After Z-Score Normalization")
plt.show()
```

Distribution After Z-Score Normalization



Comparison of Normalization Techniques

Min-Max Normalization:

- Scales numerical values between 0 and 1.
- Preserves the original relationships among data points.
- Easy to interpret and suitable for algorithms that require bounded values.
- Sensitive to outliers because extreme values affect the scaling range.

Z-Score Normalization: • Transforms data to have a mean of 0 and a standard deviation of 1. • Standardizes features with different scales. • Less sensitive to outliers compared to Min-Max Normalization. • Suitable for statistical analysis and machine learning algorithms.

Comparison: • Min-Max Normalization produces values in a fixed range (0 to 1). • Z-Score Normalization produces values centered around zero with no fixed range. • Min-Max is useful when the data has no significant outliers. • Z-Score is preferred when the dataset contains variations and extreme values.

For the Medical Insurance Cost Prediction dataset, Z-Score Normalization is the most suitable method.

Justification: • The charges attribute contains large variations and possible outliers. • Healthcare datasets often have features with different scales and distributions. • Z-Score Normalization standardizes the data using mean and standard deviation. • It reduces the effect of extreme values and improves the performance of machine learning models.

Conclusion: Both normalization techniques successfully transformed the numerical attributes. Min-Max Normalization scaled the values between 0 and 1, whereas Z-Score Normalization standardized the data to have a mean of 0 and a standard deviation of 1. For the Medical Insurance Cost Prediction dataset, Z-Score Normalization is more suitable because it handles variations and outliers more effectively.

